

MAYDAY!

By Shankkar Aiyar |

It can happen only in India. Every day flight AI 187 flies from Amritsar to London. The crew, though, is not based in Amritsar. The pilots and cabin crew fly from Mumbai. It is not an isolated instance. The erstwhile Indian Airlines (IA) has daily flights from Thiruvananthapuram to Male. The crew for this 40 minutes flight of IC 963 flies over four hours from Delhi to Thiruvananthapuram. Similarly, for the Chennai-Singapore AI 9555 or AI 9557 flights, the crew is from Delhi. The meter for the crew starts ticking when they leave home. Now add up the costs. The loss of revenue on dozen plus business class seats back and forth, wages for the hours wasted, cost of five-star stay, flying allowances for

travelling time, the dislocation allowance that costs the airline Rs 12 crore a year and the resultant lower revenue. It is two years since the merger of the two airlines—Air India (AI) and IA—but till a few weeks back two directors used to fly everyday from Delhi to Mumbai, the new headquarters, for work Senior pilots on desk jobs get flying allowances even when they don't fly because junior pilots may otherwise draw higher salaries.

Is it any surprise then that the airline is losing Rs 10 crore a day? Last week when Civil Aviation Ministry officials met Manmohan Singh, an aghast prime minister was told that the net worth was zero and without a working

capital support of at least Rs 7,500 crore the airline would be grounded. While Manmohan said the airline "couldn't be allowed to die", he chided the officials and asked why the rot was allowed to spread. Why, is a tough question but how, is visible. With 31,000 people on its rolls and 20,000 on contract and 14 volatile unions, the airline has 227 employees for every aircraft it owns, many the legacy of a closed economy. For instance, nobody quite knows when, but *darzis* were appointed to darn seat covers. Last week ministry officials discovered that they earned over Rs 1,25,000 per month for something that could be easily outsourced and, at a much lesser outgo. Its

Debt TRAP

As against an equity of Rs 145 Cr, the airline has combined liabilities of Rs 30,000 Cr

Rs 16,000 Cr

Working capital loans

Rs 14,000 Cr

Aircraft acquisition and hire-related loans

Rs 15,000 Cr

Money needed for pending aircraft orders

Air POCKET

Total aircraft: **143**

On ground: **21**

Flying: **122**

Without engines: **20**

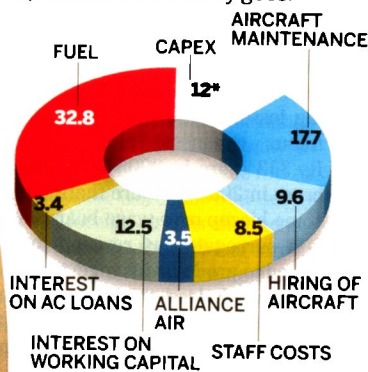
Over 15 years old: **69**

Rs 7,500 Cr

Bailout requested by airline and civil aviation ministry in the meeting with PMO.

Life JACKET

The airline is raising working capital loan to pay interest and 88 per cent of it funds the Rs 13,400-cr cash gap. A break-up of where the money goes.



*Figures in per cent

